

Bank of Korea

Economics - Data Reactions

A stitch in time saves nine

Korea

- ◆ The Board delivered another preemptive hike, raising the policy rate to 3.0%; the decision had one dissenter calling for a hold
- ◆ The median of the dot plot guided for one more 25bp hike by February 2027; this is largely in line with our view of another hike in November
- ◆ Incoming data, in support of the BoK's view of strong spillover from AI exports to domestic demand, could shift the Board towards a more hawkish path

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Facts

The BoK delivered a back-to-back hike to 3.0%. The Bank of Korea (BoK)'s Monetary Policy Board (Board) raised the Base Rate further to 3.0%, in line with consensus. That said, market expectations were somewhat divided, with the *Bloomberg* survey having shown a split of 14 (expecting a hike) to 8 (expecting a hold instead, including HSBC). The decision had one dissenting voter calling for hold.¹ Despite the Base Rate hike, the Board kept the Bank Intermediated Lending Support Facility unchanged at 1.25%, which Governor Shin Hyun Song explained would help lessen financial burdens for SMEs.² According to the policy statement, the Board took "preemptive action" today in order to prevent inflationary pressures from becoming widespread.

The BoK sees strong growth persisting through 2027, keeping core inflation elevated. The BoK revised upwards its 2026/2027 growth forecasts materially (**Table 1**). The statement noted strong exports and investment amid the semiconductor upcycle, while improving income conditions are expected to help accelerate the consumption recovery.³

Table 1: Korea macro projections: How we compare

	2025	2026f		2027f	
(%)		BoK* Consensus**	HSBC	BoK* Consensus**	HSBC
Headline CPI	2.1	2.7 (2.7)	2.7	2.3 (2.3)	2.2
- Core CPI	1.9	2.5 (2.4)	-	2.5 (2.3)	-
Real GDP	1.0	3.3 (2.6)	3.3	2.9 (2.1)	2.3

Source: BoK, Bloomberg, HSBC; Note: *values in parentheses are the BoK's forecasts from May; **Bloomberg August consensus

On inflation, the BoK thinks pass-through of higher input costs would keep inflation elevated above the BoK's 2% target for a considerable time, though expectation of decelerating oil inflation helped keep its headline inflation forecasts unchanged. That said, rising demand-pull inflationary pressures amid stronger growth would keep core inflation elevated at 2.5% in 2027 (vs. 2.5% in 2026).

The Board guided for one more 25bp hike over the next six months. In the policy statement, the phrase "it is judged that it will be necessary to continue a policy stance consistent with further rate hikes"

¹ Mr. Hwang, Kunil voted for a hold.

² The Board had raised it from 1.0% in July, "in consistency with the rate hike decision."

³ The BoK now expects private consumption to accelerate to 2.3% in 2027 (vs. 2.1% in 2026).

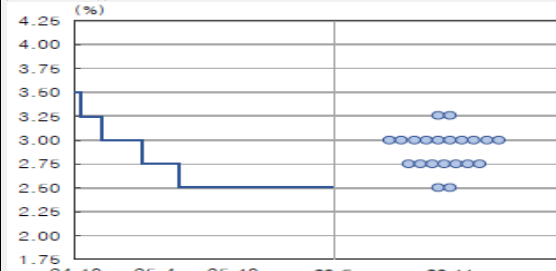
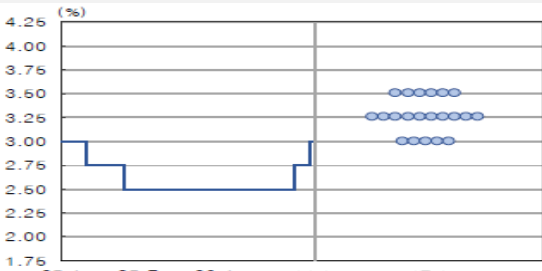
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was removed from its guidance (**Table 2**). The upward shift in the Board's conditional 6-month guidance was somewhat limited: ten out of twenty-one dots pointed to one 25bp hike (to 3.25%) by over the next four meetings (up to February 2027), while six dots pointed to two hikes (to 3.50%). The remaining five dots pointed to no changes from here.

Table 2: Forward guidance from the Board (policy statement)

	16 July, 2026	27 August, 2026
Policy statement	The Board will continue to conduct monetary policy in order to stabilize consumer price inflation at the target level over the medium-term horizon as it monitors economic growth while paying attention to financial stability.	The Board will continue to conduct monetary policy in order to stabilize consumer price inflation at the target level over the medium term horizon as it monitors economic growth while paying attention to financial stability.
	While export and domestic demand are both expected to continue their robust improvement, supported by the spillover effects of a strong semiconductor sector, inflation is forecast to remain above the target level for a considerable time, as elevated cost pressures persist for some time and as demand-side pressure also gradually increases.	The domestic economy is expected to continue its robust growth, supported by sustained strong exports and investment, and by a strengthening recovery in consumption , while inflation is projected to remain above the target level for a considerable time, driven by the pass-through of accumulated cost pressures and increasing demand side pressures .
	Regarding financial stability, it is necessary to continue to pay attention to elevated exchange rate volatility and acceleration in both housing prices increases in Seoul and its surrounding areas and in household debt growth.	Regarding financial stability, it is necessary to continue to pay attention to elevated exchange rate volatility and acceleration in both housing price increases in Seoul and its surrounding areas and household debt growth.
	Therefore, it is judged that it will be necessary to continue a policy stance consistent with further rate hikes, and the Board will determine the timing and pace of further increases in the Base Rate while assessing the extent of inflationary pressure, the improvement trend in the domestic economy, and financial stability.	Therefore, it is judged that it will be necessary to continue a policy stance consistent with further rate hikes, and the Board will decide the timing and pace of further increases in the Base Rate while assessing the trends in inflation and the domestic economy, as well as financial stability.
3-month guidance*	Every meeting in the near term is "live"	Every meeting in the near term is "live"
6-month guidance**	(from 28 May) 	

Source: BoK, HSBC; Note: the last paragraph of the policy statement has been divided into separate parts above for ease of comparison (with notable changes in bold and strike-outs); *to be updated in Feb/May/Aug/Nov; each of the seven members (including the Governor) presents three dots representing his/her Base Rate projection six months ahead

Implications

The Board expressed its resolve to curb inflation “preemptively.” When the Board delivered the first 25bp hike to 2.75% last month, we characterised the move as precautionary in nature, given lack of clearer signs of AI exports’ spillover to inflation (see [Bank of Korea: A back-to-back hike in August, despite uncertainties?](#), 16 July). We think the Board kept the theme with today’s aggressive back-to-back hike, given material upside risks from the strong AI export income to future growth and inflation it sees - as the BoK’s updated growth and inflation forecasts also suggested today.

...as a stitch in time saves nine... During the press conference, Governor Shin used a well-known Korean proverb, “호미로 막을 것을 가래로 막는다,” a couple of times, which stresses benefits of a timely action in cutting unnecessary costs. According to Governor Shin, a majority of academic studies have found that preemptive monetary policy response can, through containing inflation expectations, help lessen the magnitude and length of required tightening against inflation and lower the burden on growth.

It was also notable that Governor Shin argued for the benefits of being preemptive from the standpoint of financial stability (**Chart 1**). Commenting on both the rising trends of housing prices/household credit and the recent steep recovery in KRW – which Governor Shin viewed as a stabilisation from unusually high levels and a positive development in terms of import inflation, with potentially further

room for recovery -, he argued that preemptive monetary policy can also help improve financial stability through anchoring market expectations better.⁴

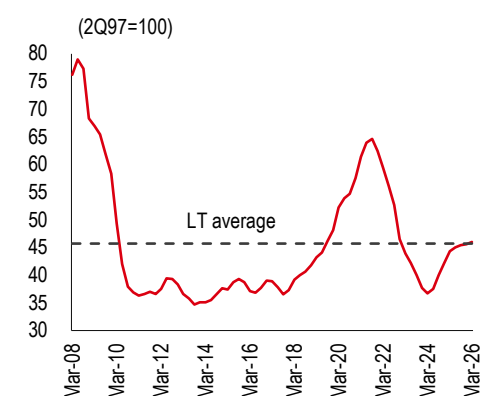
...but lack of hard data likely kept the Board from fully committing to the upward revisions in forecasts. That said, we find it interesting that the Board's updated 6-month conditional guidance showed a limited upward shift, especially given the aggressive upward revisions to 2027 GDP/CPI forecasts the BoK made today.⁵ Indeed, KTB futures recovered when the guidance was released, likely reflecting that markets were expecting a more hawkish guidance (in our preview, we had expected a more hawkish guidance towards 3.5% in case of a hike today as well). Furthermore, the Board noted today that "the future path of inflation is judged to be subject to high uncertainties related to ... the pace of the recovery in domestic demand and to the extent of the broadening of the increase in wages." Governor Shin also acknowledged that the BoK's August business survey from this morning, while robust in headline, also suggested that spillover to boarder economy is "still slow."

This jives with the idea of the hikes having been preemptive. Given rising inflation, the Board likely judged it appropriate to raise its policy rate as it could have been turning accommodative from the real neutral rate standpoint (**Chart 2**).⁶ The Board is likely to tread more carefully from here on, however, now that it has delivered two preemptive hikes against the economy which we view as not overheating: inflation expectations have remained stable, consumption appears to be softening in the current quarter, and exports recovery remains largely AI-driven (see [Bank of Korea Watch: Expecting a hawkish hold](#), 20 August).

Risks are likely tilted towards more than one hike by the Board. The reason we expected a hold pause today (followed by a hike in October instead) was not because we did not see upside risks to domestic demand and hence to demand-pull inflationary pressures from the strong headline GDP growth and export income. For instance, we are seeing meaningful risks from a more expansionary fiscal policy amid strong AI tax revenues, though the allocation of the stronger spending could also matter (see [Korea Budget 2027: Revenue surge, bigger spend – and the market implications](#), 26 August).

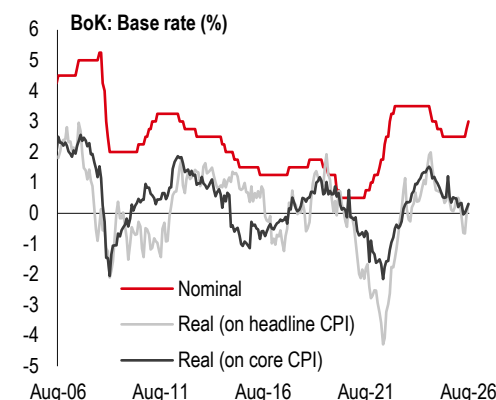
Rather, it was because we see uncertainties around the timing and magnitude of the spillover given the income's concentrated nature (see [Bank of Korea: Beyond the July hike: export spillovers into domestic demand](#), 14 July). In turn, while we see just one more rate hike to 3.25% in November, we watch out for clearer signs of AI spillover to domestic demand as the BoK expects – through inflation, wages, fiscal policy, and consumption proxies. Firming up of incoming data towards a stronger spillover will pose upside risks to our 2027 GDP/CPI forecasts and risks that the Board's hiking cycle could turn more hawkish than seemingly guided today.

Chart 1: The BoK's Financial Vulnerability Index (FVI) has been rising



Source: BoK, HSBC

Chart 2: Did the Board deem the policy rate too low?



Source: CEIC, HSBC; Note: Aug-26 values are based on HSBCe, adjusted for the one-off impact in base effects

⁴ That said, HSBC's FX strategists have been noting that the correlation between USD/KRW and US-KR rate differentials tends to be unstable (see [FX Snap: KRW – AI boom goes domestic](#), 27 August).

⁵ Unlike the US Fed, the BoK projections do not come from the Board members.

⁶ In July 2024, a BoK working paper estimated real neutral rate at the range of -0.2%-1.3%. In 2022, the Board viewed nominal rate of 2.5% as "likely in the middle of neutral range" and 3.25% as "near upper end of neutral or above, likely restrictive."

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